

**AMENDED AND RESTATED
RATE AND METHOD OF APPORTIONMENT FOR
CITY OF FILLMORE
COMMUNITY FACILITIES DISTRICT NO. 1
(NORTH FILLMORE INDUSTRIAL PARK)**

A Special Tax as hereinafter defined shall be levied on all Assessor's Parcels in the City of Fillmore Community Facilities District No. 1 (North Fillmore Industrial Park) ("CFD No. 1") and collected each Fiscal Year commencing in Fiscal Year 1999-2000, in an amount determined by the City Council of the City of Fillmore, through the application of the Rate and Method of Apportionment as described below. All of the real property in CFD No. 1, unless exempted by law or by the provisions hereof, shall be taxed for the purposes, to the extent and in the manner herein provided.

A. DEFINITIONS

The terms hereinafter set forth have the following meanings:

"Acre or Acreage" means for Residential Property, Taxable Public Property, and Taxable Property Owner Association Property the land area of an Assessor's Parcel as shown on an Assessor's Parcel Map, or if the land area is not shown on an Assessor's Parcel Map, the land area shown on the applicable final map, parcel map, condominium plan, or other recorded County parcel map, or the land area calculated to the reasonable satisfaction of the City Engineer using the boundaries set forth on such map or plan. Acreage means for Non-Residential Property, (i) with respect to an Original Parcel, the number of acres within the Original Parcel; and (ii) with respect to a Successor Parcel, the number of acres within the Successor Parcel determined as follows:

- (a) determine the acreage of each Successor Parcel by reference to a parcel map, tract map or other map as recorded in the County Assessor's Office, or otherwise as determined by the City Engineer, and exclude from such acreage any portion of a Successor Parcel which, in itself, would constitute Public Property or Property Owner Association Property,
- (b) add together the acreage as determined in (a) for all Successor Parcels to the same Original Parcel, and
- (c) for each Successor Parcel, divide the acreage of the Successor Parcel determined in (a) above by the acreage for all Successor Parcels to the same Original Parcel determined in (b) above and multiply the result by the acreage for such Original Parcel, with the result being the Acreage for such Successor Parcel.

The square footage of an Assessor's Parcel is equal to the Acreage multiplied by 43,560.

"Act" means the Mello-Roos Community Facilities Act of 1982, as amended, being Chapter 2.5, Division 2 of Title 5 of the Government Code of the State of California.

"Administrative Expenses" means any or all of the following; the fees and expenses of the Trustee (including any fees or expenses of its counsel), the expenses of the City in carrying out its duties with respect to CFD No. 1 (including, but not limited to, the levy and collection of the Special Taxes), including the fees and expenses of its counsel, any fees of the County, an allocable share of the salaries of the City staff directly related thereto, a proportionate amount of city general administrative overhead related thereto, any amounts required to be rebated to the federal government pursuant to the Internal Revenue Code of 1986, any amounts paid by the City from its general funds with respect to CFD No. 1, and all other costs and expenses of the City or the Trustee incurred in connection with the discharge of their respective duties under the Community Facilities Agreement.

"Assessor's Parcel" means a lot or parcel shown in an Assessor's Parcel Map with an assigned Assessor's Parcel number.

"Assessor's Parcel Map" means an official map of the Assessor of the County designating parcels by Assessor's Parcel number.

"Assigned Special Tax" means the Special Tax for each Land Use Class of Taxable Property as determined in accordance with Section C below.

"Backup Special Tax" means the Special Tax applicable to each Assessor's Parcel of Taxable Property as determined in accordance with Section C below.

"Bonds" means any bonds or other debt (as defined in Section 53317(d) of the Act), whether in one or more series, issued by CFD No. 1 under the Act.

"CFD No. 1" means the City of Fillmore Community Facilities District No. 1 (North Fillmore Industrial Park).

"City" means the City of Fillmore.

"Council" means the city council of the City.

"County" means the County of Ventura.

"Finance Director" the Finance Director of the City or his or her designee.

"Fiscal Year" means the period starting July 1 and ending on the following June 30.

"Indenture" means the indenture, fiscal agent agreement, resolution or other instrument pursuant to which Bonds are issued, as modified, amended and/or supplemented from time to time, and any instrument replacing or supplementing the same.

"Land Use Class" means any of the classes listed in Table 1.

"Maximum Special Tax" means the maximum Special Tax, determined in accordance with Section C below, that can be levied in any Fiscal Year on any Assessor's Parcel of Taxable Property.

"Non-Residential Property" means all Assessor's Parcels of Taxable Property not designated as Residential Property, Taxable Public Property, or Taxable Property Owner Association Property.

"Original Parcel" means an Assessor's Parcel as it existed at the time of the adoption of the Resolution of Formation by the Council.

"Outstanding Bonds" means all Bonds which are deemed to be outstanding under the Indenture.

"Property Owner Association Property" means any Assessor's Parcel within the boundaries of CFD No. 1 that is owned by a property owner association, including any master or sub-association.

"Proportionately" means for Taxable Property that the ratio of the actual Special Tax levy to the Assigned Special Tax is equal for all Assessor's Parcels of Taxable Property within CFD No. 1.

"Public Property" means any property within the boundaries of CFD No. 1 that is (i) used for rights-of-way or any other purpose and is owned by or irrevocably offered for dedication to the federal government, the State of California, the County, the City or any other public agency or (ii) encumbered by an unmanned utility easement making impractical its utilization for other than the purpose set forth in the easement, provided however that any property leased by a public agency to a private entity and subject to taxation under Section 53340.1 of the Act shall be taxed and classified in accordance with its use. Notwithstanding the foregoing, Assessor's Parcel Numbers 043-0-080-135, 043-0-080-745 and 043-0-080-875 shall not be considered Public Property

"Residential Property" means all Assessor's Parcels of Taxable Property which is zoned for residential development and for which a tract map permitting construction of residential dwelling units has been recorded as of January 1 of the prior Fiscal Year.

"Resolution of Formation" means the resolution of the City Council of the City, adopted under the Mello-Roos Act to establish CFD No 1.

"Special Tax" means the special tax to be levied in each Fiscal Year on each Assessor's Parcel of Taxable Property to fund the Special Tax Requirement.

"Special Tax Requirement" means that amount required in any Fiscal Year for CFD No. 1 to: (i) pay debt service on all Outstanding Bonds; (ii) pay periodic costs on the Bonds, including but not limited to, credit enhancement and rebate payments on the Bonds; (iii) pay Administrative Expenses; (iv) pay any amounts required to establish or replenish any reserve funds for all Outstanding Bonds; (v) pay for reasonably anticipated delinquent Special Taxes based on the delinquency rate for Special Taxes levied in the previous Fiscal Year; (vi) less a credit for funds available to reduce the annual Special Tax levy, as determined by the Finance Director pursuant to the Indenture.

"State" means the State of California.

"Successor Parcel" means an Assessor's Parcel created by subdivision, lot line adjustment or parcel map from an Original Parcel.

"Taxable Property" means all of the Assessor's Parcels within the boundaries of CFD No. 1 which are not exempt from the Special Tax pursuant to law or Section E below.

"Taxable Public Property" means all of the Assessor's Parcels of Public Property which are not exempt from the Special Tax pursuant to law or Section E below.

"Taxable Property Owner Association Property" means all of the Assessor's Parcels Property Owner Association Property which are not exempt from the Special Tax pursuant to law or Section E below.

"Trustee" means the trustee or fiscal agent under the Indenture.

"Zone" means any of the three geographical areas within CFD No. 1. A map of the Zones is included in Appendix A.

B. ASSIGNMENT TO LAND USE CATEGORIES

Each Fiscal Year, all Taxable Property within CFD No. 1 shall be classified as Residential Property, Non-Residential Property, Taxable Public Property, and Taxable Property Owner Association Property, and shall be subject to Special Taxes in accordance with the rate and method of apportionment determined pursuant to Sections C and D below.

Residential Property shall be assigned to Land Use Class 1. Non-Residential Property shall be assigned to Land Use Classes 2 through 7 by determining the Zone or Zones in which the Assessor's Parcel is located.

C. MAXIMUM SPECIAL TAX RATE

1. Residential and Non-Residential Property

a. Maximum Special Tax

The Maximum Special Tax for each Assessor's Parcel classified as Residential Property or Non-Residential Property shall be the greater of (i) the amount derived by application of the Assigned Special Tax or (ii) the amount derived by application of the Backup Special Tax.

b. Assigned Special Tax

The Assigned Special Tax for each Land Use Class is shown below in Table 1. The Assigned Special Tax for an Assessor's Parcel of Residential Property shall be based on the number of existing or expected dwelling units on such Assessor's Parcel as determined by the Finance Director. The Assigned Special Tax for an Assessor's Parcel of Non-Residential Property shall be based on the Acreage of such Assessor's Parcel.

Table 1
Assigned Special Taxes for Taxable Property
Community Facilities District No. 1

Land Use Class	Description	Lot Square Footage/Zone	Assigned Special Tax Per Unit / Acre
1	Residential Property	NA	\$794 per Unit
2	Non-Residential Property	Zone A	\$599 per Acre
3	Non-Residential Property	Zone B	\$499 per Acre
4	Non-Residential Property	Zone C	\$2,246 per Acre
5	Non-Residential Property	Zones A and C	\$2,845 per Acre
6	Non-Residential Property	Zones B and C	\$2,745 per Acre
7	Non-Residential Property	Zones A, B, and C	\$3,344 per Acre

c. Backup Special Tax

The Backup Special Tax for an Assessor's Parcel of Residential Property or Non-Residential Property shall equal \$5,057 per Acre.

2. **Taxable Public Property and Taxable Property Owner Association Property**

The Maximum Special Tax for an Assessor's Parcel of Taxable Public Property or Taxable Property Owner Property shall equal \$5,057 per Acre.

D. METHOD OF APPORTIONMENT OF THE SPECIAL TAX

Commencing with Fiscal Year 1999-2000 and for each following Fiscal Year, the Council shall levy the Special Tax until the amount of Special Taxes levied equals the Special Tax Requirement. The Special Tax shall be levied each Fiscal Year as follows:

First: The Special Tax shall be levied Proportionately on each Assessor's Parcel of Residential Property and Non-Residential Property at up to 100% of the applicable Assigned Special Tax as needed to satisfy the Special Tax Requirement.

Second: If additional monies are needed to satisfy the Special Tax Requirement after the first step has been completed, then the levy of the Special Tax on each Assessor's Parcel of Residential Property and Non-Residential Property whose Maximum Special Tax is determined through the application of the Backup Special Tax shall be increased Proportionately from the Assigned Special Tax up to the Maximum Special Tax for each Assessor's Parcel.

Third: If additional monies are needed to satisfy the Special Tax Requirement after the first two steps have been completed, the Special Tax shall be levied Proportionately on each Assessor's Parcel of Taxable Public Property and Taxable Property Owner Association Property at up to 100% of the Maximum Special Tax for Taxable Public Property and Taxable Property Owner Association Property.

Notwithstanding the above, under no circumstances will the Special Tax levied against any Assessor's Parcel of Residential Property for which an occupancy permit for private residential use has been issued be increased by more than ten percent as a consequence of delinquency or default by the owner of any other Assessor's Parcel within the CFD.

E. EXEMPTIONS

No Special Tax shall be levied on up to 40 Acres of Public Property and/or Property Owner Association Property. Tax-exempt status will be assigned by the Finance Director in the chronological order in which property becomes Public Property or Property Owner Association Property. However, should an Assessor's Parcel no longer be classified as Public Property or Property Owner Association Property its tax-exempt status will be revoked.

Public Property and Property Owner Association Property that is not exempt from Special Taxes under this section shall be subject to the levy of the Special Tax and shall be taxed as part of the third step in Section D above.

F. MANNER OF COLLECTION

The Special Tax shall be collected in the same manner and at the same time as ordinary *ad valorem* property taxes; provided, however, that CFD No. 1 may directly bill the Special Tax, may collect Special Taxes at a different time or in a different manner if necessary to meet its financial obligations, and may covenant to foreclose and may actually foreclose on delinquent Assessor's Parcels as permitted by the Act.

G. PREPAYMENT OF SPECIAL TAX

The following definitions apply to this Section G:

"Outstanding Bonds" means all Previously Issued Bonds which are deemed to be outstanding under the Indenture after the first interest and/or principal payment date following the current Fiscal Year.

"Previously Issued Bonds" means all Bonds that have been issued by CFD No. 1 prior to the date of prepayment.

1. Prepayment in Full

The Special Tax obligation applicable to any Assessor's Parcel of Taxable Property in CFD No. 1 may be fully prepaid and the obligation of the Assessor's Parcel to pay the Special Tax permanently satisfied as described herein; provided that a prepayment may be made only if there are no delinquent Special Taxes with respect to such Assessor's Parcel at the time of prepayment. An owner of an Assessor's Parcel intending to prepay the Special Tax obligation shall provide the Finance Director with written notice of intent to prepay. Within 30 days of receipt of such written notice, the Finance Director shall notify such owner of the prepayment amount of such Assessor's Parcel. The Finance Director may charge a reasonable fee for providing this figure. Prepayment must be made not less than 45 days prior to the next occurring date that notice of redemption of Bonds from the proceeds of such prepayment may be given to the Trustee pursuant to the Indenture.

The Prepayment Amount (defined below) shall be calculated as summarized below (capitalized terms as defined below):

	Bond Redemption Amount
plus	Redemption Premium
plus	Defeasance Amount
plus	Administrative Fees and Expenses
less	Reserve Fund Credit
<u>less</u>	<u>Capitalized Interest Credit</u>
Total: equals	Prepayment Amount

As of the proposed date of prepayment, the Prepayment Amount (defined below) shall be calculated as follows:

Paragraph No.:

1. Compute the Assigned Special Tax and Backup Special Tax applicable for the Assessor's Parcel to be prepaid.
2. (a) Divide the Assigned Special Tax computed pursuant to paragraph 1 by the total estimated Assigned Special Taxes for the entire CFD No. 1 based on the Taxable Property Special Taxes which could be charged in the current Fiscal Year on all expected development through buildout of CFD No. 1, excluding any Assessor's Parcels which have been fully prepaid, and

(b) Divide the Backup Special Tax computed pursuant to paragraph 1 by the estimated Backup Special Taxes at buildout of CFD No. 1, excluding any Assessor's Parcels which have been fully prepaid.

3. Multiply the larger quotient computed pursuant to paragraph 2(a) or 2(b) by the Outstanding Bonds to compute the amount of Outstanding Bonds to be retired and prepaid (the "Bond Redemption Amount").
4. Multiply the Bond Redemption Amount computed pursuant to paragraph 3 by the applicable redemption premium, if any, on the Outstanding Bonds to be redeemed (the "Redemption Premium").
5. Compute the amount needed to pay interest on the Bond Redemption Amount from the first bond interest and/or principal payment date following the current Fiscal Year until the earliest redemption date for the Outstanding Bonds.
6. Confirm that no Special Tax delinquencies apply to such Assessor's Parcel.
7. Determine the Special Taxes levied on the Assessor's Parcel in the current Fiscal Year which have not yet been paid.
8. Compute the minimum amount the Finance Director reasonably expects to derive from the reinvestment of the Prepayment Amount less the Administrative Fees and Expenses from the date of prepayment until the redemption date for the Outstanding Bonds to be redeemed with the prepayment.
9. Add the amounts computed pursuant to paragraphs 5 and 7 and subtract the amount computed pursuant to paragraph 8 (the "Defeasance Amount").
10. Verify the administrative fees and expenses of CFD No. 1, including the costs of computation of the prepayment, the costs to invest the prepayment proceeds, the costs of redeeming Bonds, and the costs of recording any notices to evidence the prepayment and the redemption (the "Administrative Fees and Expenses").
11. If reserve funds for the Outstanding Bonds, if any, are at or above 100% of the reserve requirement (as defined in the Indenture) on the prepayment date, a reserve fund credit shall equal the actual reduction in the reserve requirement, if any, as a result of the prepayment (the "Reserve Fund Credit"). No Reserve Fund Credit shall be granted if reserve funds are below 100% of the reserve requirement.
12. If any capitalized interest for the Outstanding Bonds will not have been expended at the time of the first interest and/or principal payment following the current Fiscal Year, a capitalized interest credit shall be calculated by multiplying the larger quotient computed pursuant to paragraph 2(a) or 2(b) by the expected balance in the capitalized interest fund after such first interest and/or principal payment (the "Capitalized Interest Credit").

13. The Special Tax prepayment is equal to the sum of the amounts computed pursuant to paragraphs 3, 4, 9 and 10, less the amounts computed pursuant to paragraphs 11 and 12 (the "Prepayment Amount").
14. From the Prepayment Amount, the amounts computed pursuant to paragraphs 3, 4, 9, 11 and 12 shall be deposited into the appropriate fund as established under the Indenture and be used to retire Outstanding Bonds or make debt service payments. The amount computed pursuant to paragraph 10 shall be retained by CFD No. 1.

The Prepayment Amount may be sufficient to redeem other than a \$5,000 increment of Bonds. In such cases, the increment above \$5,000 or integral multiple thereof will be retained in the appropriate fund established under the Indenture to be used with the next prepayment of bonds or to make debt service payments.

As a result of the payment of the current Fiscal Year's Special Tax levy as determined under paragraph 7 (above), the Finance Director shall remove the current Fiscal Year's Special Tax levy for such Assessor's Parcel from the County tax rolls. With respect to any Assessor's Parcel that is prepaid, the Council shall cause a suitable notice to be recorded in compliance with the Act, to indicate the prepayment of Special Taxes and the release of the Special Tax lien on such Assessor's Parcel, and the obligation of such Assessor's Parcel to pay the Special Tax shall cease.

Notwithstanding the foregoing, no Special Tax prepayment shall be allowed unless the amount of Assigned Special Taxes that may be levied on Taxable Property within CFD No. 1 both prior to and after the proposed prepayment is at least 1.1 times the maximum annual debt service on all Outstanding Bonds.

2. Prepayment in Part

The Maximum Special Tax on an Assessor's Parcel of Taxable may be partially prepaid. The amount of the prepayment shall be calculated as in Section G.1; except that a partial prepayment shall be calculated according to the following formula:

$$PP = P_t \cdot F.$$

These terms have the following meaning:

PP = the partial prepayment

P_t = the Prepayment Amount calculated according to Section G.1

F = the percent by which the owner of the Assessor's Parcel(s) is partially prepaying the Maximum Annual Special Tax.

The owner of an Assessor's Parcel who desires to partially prepay the Maximum Special Tax shall notify the Finance Director of (i) such owner's intent to partially prepay the Maximum Special Tax, (ii) the percentage by which the Maximum Special Tax shall be prepaid, and (iii) the company or agency that will be acting as the escrow agent, if applicable. The Finance Director shall provide the owner with a statement of the amount required for the

partial prepayment of the Maximum Special Tax for an Assessor's Parcel within 30 days of the request and may charge a reasonable fee for providing this service.

With respect to any Assessor's Parcel that is partially prepaid, the City shall (i) distribute the funds remitted to it according to Paragraph 16 of Section G.1. and (ii) indicate in the records of CFD No. 1 that there has been a partial prepayment of the Maximum Special Tax and that a portion of the Maximum Special Tax equal to the outstanding percentage (1.00 - F) of the remaining Maximum Special Tax shall continue to be authorized to be levied on such Assessor's Parcel pursuant to Section D.

3. Mandatory Partial Prepayment

The Special Tax for each Assessor's Parcel of Residential Property shall be prepaid, at or prior to the close of escrow to the first private residential owner, using the full or partial prepayment methodologies described in Section G.1 or G.2, such that the Maximum Special Tax for each dwelling unit does not exceed the amount shown for the applicable Land Use Class in Table 2 below.

Table 2
Highest Special Taxes
Allowed After Close of Escrow
To a Private Residential User

Land Use Class	Description	Highest Annual Special Tax Per Unit
1	Residential Property	\$600

H. TERM OF SPECIAL TAX

The Special Tax shall be levied for a period not to exceed fifty years commencing with Fiscal Year 1999-2000.

F:\WORK\CLIENTS2\Fillmore\CFD99_1\RMARMA_Fill3.doc

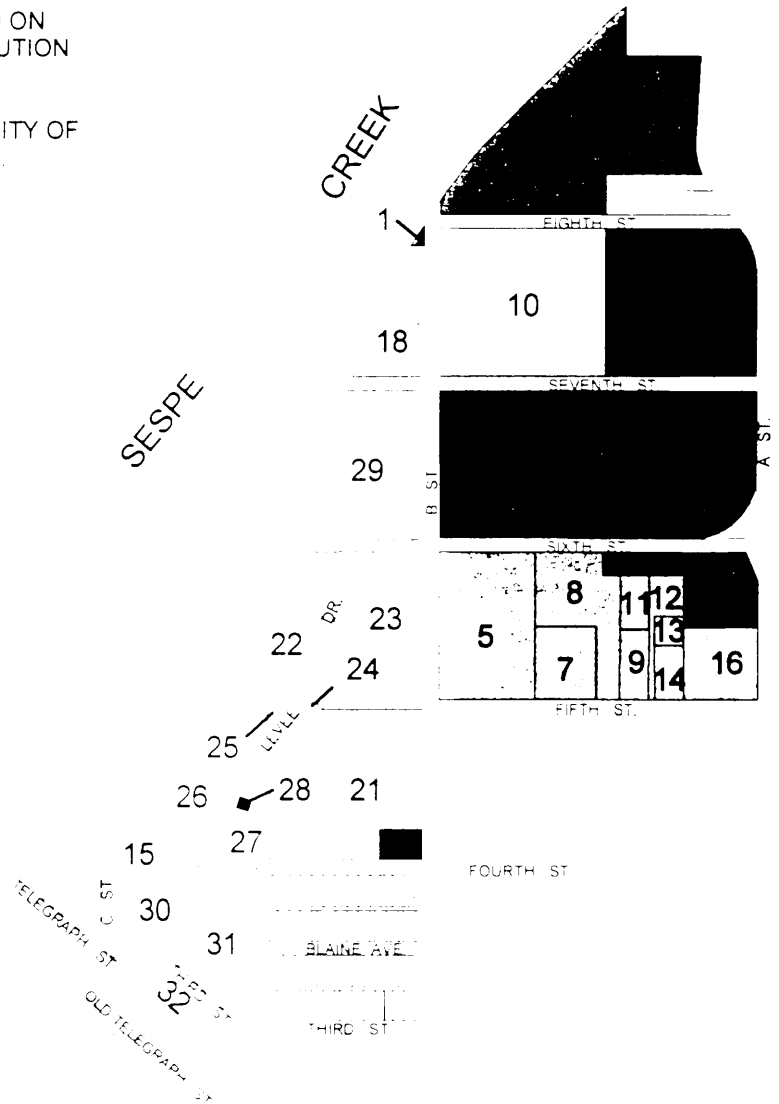
BOUNDARIES COMMUNITY FACILITIES DISTRICT NO. 1 CITY OF FILLMORE, COUNTY OF VENTURA STATE OF CALIFORNIA FISCAL YEAR 1999/2000

CERTIFICATIONS

I HEREBY CERTIFY THAT THE MAP SHOWING BOUNDARIES OF COMMUNITY FACILITIES DISTRICT NO. 1, CITY OF FILLMORE, COUNTY OF VENTURA, STATE OF CALIFORNIA, WAS APPROVED BY THE COUNCIL OF SAID CITY OF FILLMORE AT A REGULAR MEETING THEREOF HELD ON THE ____ DAY OF _____, 1999 BY RESOLUTION NO. _____.

FILED IN THE OFFICE OF THE CITY CLERK OF THE CITY OF FILLMORE THIS ____ DAY OF _____, 1999.

ASMT NO	APN NO
1	043-0-080-31
2	043-0-080-10
3	043-0-080-13
4	043-0-080-15
5	043-0-080-22
6	043-0-080-24
7	043-0-080-26
8	043-0-080-32
9	043-0-080-37
10	043-0-080-40
11	043-0-080-42
12	043-0-080-43
13	043-0-080-44
14	043-0-080-45
15	043-0-080-51
16	043-0-080-53
17	043-0-080-74
18	043-0-080-76
19	043-0-080-77
20	043-0-080-78
21	043-0-080-79
22	043-0-080-81
23	043-0-080-82
24	043-0-080-83
25	043-0-080-84
26	043-0-080-85
27	043-0-080-86
28	043-0-080-87
29	043-0-080-88
30	052-0-021-05
31	052-0-021-06
32	052-0-021-07



LEGEND

-  Zone A,B,C
-  Zone B,C
-  Zone A,C
-  Zone C

C.F.D. Boundaries Map

